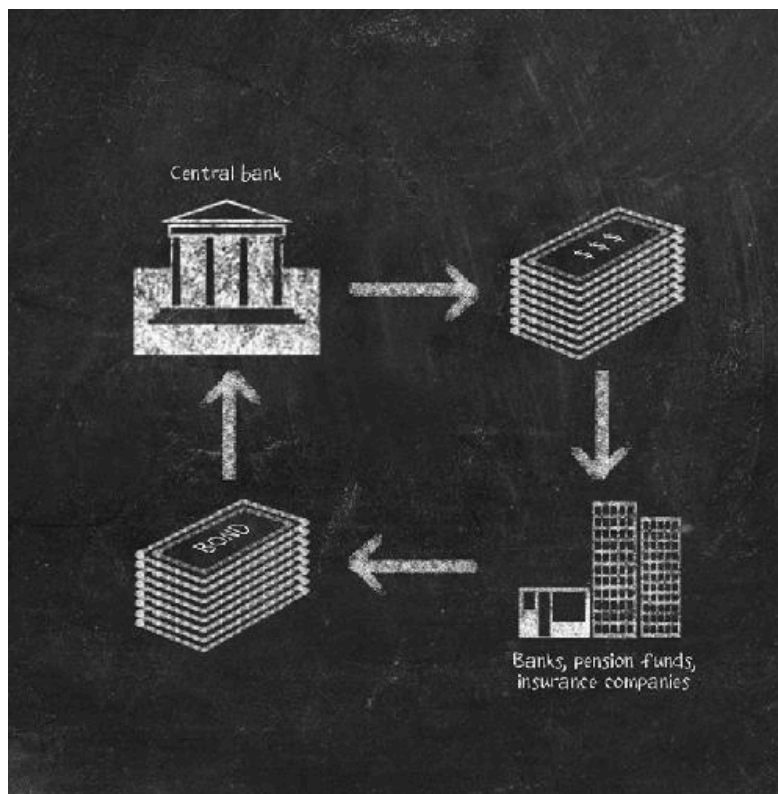


Quantitative easing



The manipulation of interest rates forms a central plank of monetary policy: often during downturns, governments lower interest rates to invigorate the economy. But what if rates are already so low that they can't be cut further, as happened in some countries during the recent economic crisis? Quantitative easing (QE) is an alternative means of loosening monetary conditions by rapidly increasing the money supply.

The central bank effectively creates cash and, by purchasing financial assets such as government and corporate bonds, injects it into the economy. This lowers 'retail' interest rates faced by consumers and firms, boosting the economy. QE is a variation on a more traditional form of monetary policy known as 'open market operations', in which the central bank deals in short-term government bonds: with QE a broader range of assets are purchased. Since its primary aim is to bring down borrowing

costs, QE should be distinguished from the printing of money merely to finance government spending.